

Eneric Power: Business & Financial Analysis



A comprehensive evaluation of Eneric Power's current business position, financial performance, and growth trajectory as an early-stage EPC contractor in the renewable power sector.

Business Snapshot (What Eneric Power Is Today)

Nature of business: EPC / contracting-led renewable power execution (project-based revenues)

FY25 Revenue (Net Sales): ₹4.61 Cr

FY25 PAT: ₹13.6 Lakhs

Business model:

- Asset-light
- Working-capital intensive
- No inventory holding
- Execution driven (labour, subcontracting, machinery hire)



📌 This is a classic early-stage EPC contractor profile, not a product or IP-heavy company.

Profit & Loss Performance – Reality Check (FY 2024-25)

Revenue & Margins

₹461L

Net Sales

₹23.9L

Gross Profit

Gross Margin ~5.2%

3.0%

PAT Margin

→ Interpretation

- Margins are thin but acceptable for a young EPC firm
- Heavy reliance on material + subcontract costs (~71%)
- Cost structure is execution-driven, not overhead-heavy

Cost Structure Insight

- Material + labour + subcontracting = ₹327.9 Lakhs
- Employee cost = ₹24.8 Lakhs (lean organization)
- Finance cost = ₹3.99 Lakhs (manageable)
- Other expenses = ₹90.6 Lakhs (site-linked, not bloated)

📌 Positive sign: No red-flag overheads or unexplained expenses

Balance Sheet Health (As on 31 March 2025)

Capital Structure

Owner's Capital ₹1.0 Lakh	Reserves & Surplus ₹13.6 Lakhs
Partners' Current Account ₹53.6 Lakhs	Net Worth (Tangible) ₹14.6 Lakhs

→ Business is partner-funded, not equity-funded. This is normal at this stage, but it caps credit comfort.

Borrowings & Leverage

- Working Capital Borrowing (CC): ₹67.7 Lakhs
- No term loans
- Outside Liabilities / Net Worth: 11.63×

📌 This looks high, but:

- It is WC-driven, not long-term debt
- CMA shows rapid improvement to 2.68× by FY28

Working Capital Reality (Critical Area)



FY25 Actuals

Receivables

₹146.8 Lakhs

~ 3.25 months of sales

Trade Payables

₹19.9 Lakhs

~ 0.7 months

Net Working Capital

₹7.9 Lakhs

Current Ratio

1.05

→ Meaning

- Eneric Power is financing clients, not suppliers
- Cash stress is structural, not due to losses
- Growth without WC discipline = risk

📌 This is the single biggest business constraint today

CMA Projections – Are They Reasonable?

Growth Trajectory (Aggressive but Plausible)

Year	Net Sales (₹ Cr)	PAT (₹ Lakhs)
FY25 (Actual)	4.61	13.6
FY26 (Est.)	8.06	69.7
FY27 (Proj.)	10.08	86.6
FY28 (Proj.)	13.10	117.4

Margin Expansion

- PAT margin improves from 3% → ~9%
- Gross margin improves to ~16–17%

→ Achievable only if:

1. Better pricing discipline
2. Reduced dependency on hired machinery
3. Faster receivables cycle
4. Selective project acceptance (not volume chasing)

Key Strengths Identified



Profitable from Year 1



No long-term debt



Lean cost structure



Scalable EPC model



CMA ratios improve consistently



Strong renewable sector tailwind

Key Risks & Watch-Points

High receivable concentration

Extended payment cycles create cash flow pressure

Low capital base vs growth ambition

Limited equity cushion for rapid expansion

Bank dependence for WC

Heavy reliance on working capital borrowing

Margins sensitive to cost overruns

Thin margins vulnerable to execution challenges

No asset cushion (equipment ownership low)

Asset-light model limits collateral availability

Overall Business Verdict (High-Level)



Eneric Power is:

A financially disciplined, early-stage EPC company with strong growth potential but working-capital fragility.

It is **bankable**, **scalable**, and **credible**, but must shift from survival-mode execution to structured growth governance.

Strategic Path Forward



Strengthen Working Capital Management

Reduce receivables cycle and improve cash conversion



Enhance Capital Base

Build equity cushion to support growth ambitions



Selective Project Acceptance

Focus on margin quality over volume chasing



Operational Excellence

Reduce dependency on hired machinery and improve execution efficiency

By addressing these strategic priorities, Eneric Power can transition from a promising startup to a sustainable, growth-oriented enterprise in the renewable energy sector.